

[Concept Note] DCC on Omni

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0. Relevant Links

-  [Project Tracker] DCC on Omni
-  [User Stories] DCC on Omni

1. How will we announce this offering to the world?

1.1. How would you post this on the Product bulletin in slack?

What would the prod bulletin post look like - post-launch.

 **Razorpay DCC is Now on the OmniChannel Stack – Empowering Merchants Across Online & Offline Payments!**

The Problem

International customers often face uncertainty at checkout due to hidden fees, fluctuating exchange rates, and lack of transparency when making payments in INR. Merchants operating in both online and offline spaces have been limited in offering seamless Dynamic Currency Conversion (DCC) due to the fragmented nature of existing payment infrastructures.

The Solution

- ♦ **DCC is now built on the Razorpay OmniChannel Stack**, enabling merchants to offer international customers the ability to pay in their home currency - whether they operate online, offline, or both!
- ♦ This is not a new feature but an **enhancement from the Ezetap Stack to Razorpay Stack**, ensuring a unified, scalable, and future-ready solution for all merchants.
- ♦ **Integrated with Razorpay's Cross-Border Payments Suite**, this expansion ensures a seamless experience across all merchant touchpoints.

Results

 **One-Stack for All Payments:** Whether a merchant accepts payments at a retail store, hotel, or their online website, **Razorpay now enables DCC across all channels** —simplifying operations and reconciliation.

✅ **Expanded Merchant Access:** DCC is now available not just for bank-led merchants but also for aggregator merchants on the Razorpay platform via its Hitachi Bin-Sponsorship Model.

✅ **Higher Conversions & Revenue Growth:** With transparent exchange rates and real-time conversion options, **merchants benefit from increased acceptance and a share of DCC markup revenue.**

What's Next?

We're further **expanding DCC support across more acquiring banks** to ensure a comprehensive global payment experience for all merchants. With this move, Razorpay Stack is now even more equipped to support **OmniChannel merchants across both online and offline transactions!**

For more details → <Link>

1.2. What would a 1-page press-release look like?

This section should contain a 1 page press-release if we were to release this to the press.

Razorpay Expands Dynamic Currency Conversion (DCC) to OmniChannel Stack, Enabling Seamless Global Payments Across Online & Offline Merchants

 Bangalore, India – [Date] – Razorpay, India's leading full-stack financial solutions provider, is excited to announce the **expansion of its Dynamic Currency Conversion (DCC) feature to the Razorpay OmniChannel Stack**. This enables merchants across **both online and offline spaces** to offer international customers the ability to pay in their home currency, delivering a seamless and transparent checkout experience.

Empowering Merchants Across All Payment Channels

Previously available only through Razorpay's Offline Payment Stack for bank-led merchants, this enhancement marks a major milestone in **Razorpay's vision to unify online and offline payments** under a single, scalable platform. With DCC now integrated into the Razorpay Stack, all merchants can all offer currency conversion at checkout—maximizing revenue potential and enhancing the global customer experience.

A Transparent and Customer-Friendly Payment Solution

With Razorpay DCC, international customers can:

- ✅ Instantly view pricing and pay in their home currency with **real-time, competitive exchange rates**
- ✅ **Avoid hidden fees and conversion uncertainties**, improving trust and checkout confidence.
- ✅ **Enjoy a seamless experience across both online and offline touchpoints**—including retail, hospitality, travel, and e-commerce.

Unlocking New Revenue Opportunities for Merchants

For merchants, this expansion is a game-changer:

- **✓ Revenue Share Opportunity** – Merchants can earn a share of the DCC markup, unlocking an additional revenue stream.
- **✓ Increased Customer Conversions** – Transparent pricing leads to higher conversion and improved customer satisfaction.
- **✓ Unified Dashboard Experience** – Merchants operating online, offline, or both can now manage all transactions from a single dashboard, simplifying reconciliation and operations.

A Strategic Expansion of Razorpay’s Cross-Border Capabilities

This expansion aligns seamlessly with Razorpay’s existing Cross-Border Payments Suite, enabling businesses to cater to international customers across all touchpoints—whether through POS terminals, e-commerce platforms, or in-person sales.

“At Razorpay, our mission is to simplify payments for businesses of all sizes. By bringing DCC to the OmniChannel Stack, we are empowering merchants with a truly unified payments infrastructure that supports both their online and offline operations, while also enhancing the global customer experience. This is a natural evolution of our Cross-Border Payments Suite, allowing businesses to scale internationally with ease,” said X from Razorpay.

Availability & Future Plans

Razorpay DCC on the OmniChannel Stack is now available for select merchants and will soon be rolled out across all supported Razorpay POS terminals and online merchants. The company is actively working to expand DCC across more acquiring banks to further enhance the offering.

For more information, visit [Razorpay website link]

1.3. How will we enable Sales & Solution on this offering? (including How-to-use)

How will we drive our sales & solutions on the offering and how to unlock the power of the offering? This section is supposed to contain a link that details this out.

Team	
Sales	
Solutions	
SCM	
Ops	
Tech Support / Frontline Support Team	

Store Person	
Merchants	

1.4. What would a merchant facing tech docs in razorpay.com/docs look like?

Do add a link to the merchant-facing tech doc that has the technical documentation for this offering. Write NA if it's not applicable. This section is supposed to contain a link that details this out.

<To be added>

1.5. Where would merchant go to to learn more (Knowledge-base)

Do add a link to the knowledge base that has 'how-to' for this offering. Write NA if it's not applicable. This section is supposed to contain a link that details this out.

<To be added>

2. What problem are we solving

This section should document the problem that we are trying to solve.

2.1. Describe the problem in detail (WIP)

This section should describe the problem that we are trying to solve - in as much detail as possible. The intent should be to describe not just the symptom, but the root cause of the problem as much as possible. Problems can be discovered by speaking to customers, looking at data, or by observing customers & competitors and the regulatory environment.

Break into:

1. Customer Problem (End-Customer)
2. Merchant Problem
3. Business Opportunity

Razorpay already supports Dynamic Currency Conversion (DCC) via its Razorpay POS Stack for Bank-acquired merchants and via its Cross-Border solution for online merchants. However, the lack of a unified DCC solution on the Razorpay OmniChannel Stack leads to many issues & opportunity losses for both merchants & Razorpay.

By not having DCC built into the Razorpay Stack, Razorpay is missing out on:

- A seamless experience for OmniChannel merchants who operate both online and offline.
- Full control over DCC revenue share, as current solutions rely on third-party DCC providers like Planet Payments & Worldline.
- Efficiency in scaling and maintaining the solution, as different tech stacks create fragmentation and operational overhead.
- The ability to support aggregator merchants for DCC transactions, due to the lack of an in-house acquiring switch.

User	Challenges	Key Pain Points
End Customer	Foreign travelers visiting India expect a seamless and transparent payment experience but currently struggle with conversion fees, hidden charges, and lack of pricing clarity at checkout.	1. Lack of Transparent Pricing & Exchange Rates • Customers do not know how much will be deducted in their home currency at the moment of payment. • Many rely on Google or third-party currency conversion tools, creating uncertainty. 2. Hidden Fees & Conversion Markups by Issuing Banks • Without a DCC option, the issuing bank handles currency conversion post-transaction, often adding hidden forex fees. • The final charge is only visible on their bank statement, causing potential frustration and disputes.
Merchants	Merchants, particularly in industries like hospitality, luxury retail, travel, and F&B, serve a high volume of international customers but are unable to offer a consistent, seamless currency conversion experience across both online and offline channels.	1. No Unified DCC Across Online & Offline Payments: • A merchant selling both in-store via POS and online via Razorpay Checkout has to use different DCC providers, creating fragmented operations and reconciliation issues. 2. Lost Revenue Due to Lack of DCC Participation for Aggregator Merchants • Razorpay's current bank-led DCC solution means Aggregator merchants using Razorpay POS do not have access to DCC. 3. Operational Complexity & Poor Customer Experience: • Without DCC-enabled POS devices, merchants frequently deal with confused customers asking about exchange rates.
Razorpay	By migrating DCC to the Razorpay OmniChannel Stack, Razorpay can unlock new revenue streams, improve merchant adoption, and establish itself as a leader in international payment solutions.	1. Inability to Offer a True OmniChannel Payment Experience: • Today, DCC is enabled separately for online & POS merchants via different tech stacks. 2. Loss of Control Over Revenue & Merchant Pricing: • Bank-led merchants use third-party DCC providers (Planet Payments, Worldline), reducing Razorpay's revenue share. • With its own switch (via Hitachi-RBL), Razorpay can capture a larger share of the DCC markup. 3. Operational Overhead Due to Maintaining Multiple Stacks:

		• The current fragmentation of DCC solutions across Razorpay's online payments & Razorpay POS increases maintenance & operational complexity. • A single Razorpay OmniChannel DCC solution reduces tech debt & operational overhead.
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Market & Revenue Potential

- **✓ ₹1300 Crore/Month in Untapped DCC Transactions:**
 - Only 50% (~₹1200 crore/month) of international POS transactions in India are DCC-enabled, leaving another ₹1300 crore/month in untapped potential.
 - Razorpay is currently missing out on this opportunity due to reliance on third-party DCC providers and lack of aggregator DCC support.
- **✓ Higher Revenue Share from DCC Markup Fees:**
 - Today, Razorpay only gets ~40 bps out of the ~5% markup fee due to reliance on external providers.
 - Owning the DCC stack (via Hitachi-RBL switch) allows Razorpay to retain a significantly larger share of markup revenue.
- **✓ Increased Merchant Adoption & Retention:**
 - Offering DCC across both online & offline makes Razorpay more attractive to merchants who operate in both spaces.
 - Merchants who switch to Razorpay for POS + Online payments will benefit from a unified DCC solution, improving retention.

2.2. Who are we solving the problem for? (WIP)

Describe the customer or customers for whom we are solving this problem.

Stakeholder	Segment	Pain-points/ Needs
Merchants	Hospitality	Sale: Payments for stays and services. - Refund: Processing cancellations. - Pre-Auth: Secure payments at check-in. - Tip Management: Adding tips in the customer's home currency. - Void/Reversal: Correcting errors.
	Travel	Sale: Payments for travel related to flights, trains or cabs Refund: Processing cancellations Tip Management: Adding tips in the customer's home currency. - Void/Reversal: Correcting errors
	Retail	- Sale: Payments for purchases. - Refund: Handling returns or exchanges. - Void/Reversal: Managing errors in transactions.
	Food & Beverages	- Sale: Payments for dining services. - Refund: Addressing cancellations. - Tip Management: Allowing tips in home currency. - Void/Reversal: Fixing errors.
Channels	Aggregator	- Supports both offline POS and online payments. - Operates with and without BIN Sponsorship. - Revenue sharing opportunity
	Direct	- Focused on offline POS merchants directly onboarded by Razorpay. - Simplified plug-and-play solutions for ease of use.
	Bank-led	- Includes offline POS merchants where banks manage merchant relationships. - Typically reliant on third-party providers for DCC.
Cardholder	International customers	- Currency Transparency: Need to view payment amounts in their home currency. - Hidden Fees: Avoid unexpected issuer fees. - Convenience: Eliminate manual conversion using third-party tools.

2.3. How many such customers exist? (WIP)

This section should include various customer segments, the size of the segments, and segment-specific problems. The size of the segments in Total addressable market (TAM), Serviceable addressable market (SAM), and Serviceable obtainable market (SOM) would be ideal.

TAM: ₹2500 crore/month of international POS transactions in India.

SAM: ₹1200 crore/month (DCC-enabled transactions).

SOM: ~39 crore/month (~3% of 1300 crore/month - untapped market)

2.4. Have we spoken to any customers? (WIP)

Document customer conversations around the discovery & validation of both.

Segment	Merchant Type	Merchant Name	Pain-points	What can Razorpay do?
Hospitality	Competition	1. Grand Hilton Saket 2. Le Meridian Gurgaon 3. JW Marriott Golfshire Resorts & SPA bangalore	1. ~40% customers opt-in for foreign currency which is dominated by Japanese customers 2. DCC on Pre-auth is useful along with tipping option 3. Sometime we have to deduct 1 dollar for few corporate cards but that is not allowed and hence pre-auth has to be released and have to go for normal txn 4. MKE use-case is negligible 5. Merchants claimed that they didn't know any benefits of the DCC 6. Merchants don't really participate in educating customers about the two options	1. Provide DCC with pre-auth and tipping flows to cater all needs 2. Provide enough training to merchants about the MDR cost savings on DCC txns along with how to make customers aware of the benefits
Retail	Razorpay Merchant	1. iMagine 2. Decathlon Indiranagar 3. Snitch 4. Smoor Airport	1. Merchants rely on Pinelabs for DCC. Paytm DCC offering is limited. 2. Premium merchants asked for DCC solution as a must have 3. Retail shops at domestic airports don't see DCC as a need as they barely get international customers and they don't request for it	1. Support DCC for Non-android devices also so that it can be supported for DigiPOS merchants/D180 devices 2. Educate merchants how they can save MDR cost on DCC transactions and pitch to customers about the benefits
Card Holders	-	-	1. Prefer the option to see the conversion rate as it gives me idea about the price quickly 2. Prefer to pay in merchant currency and home currency - mix of two	1. Clear communication of the markup fee and exchange rate. 2. Customer facing screens for customer to make informed decisions

2.5. Any quantification of the problem? (WIP)

On top of customer conversations, great PMs quantify the problem and identify the depth or gravity of the problem at hand via looking at data and insights, looking at support tickets/social pulse.

DCC Impact Assessment

FY25 Q3 data:

- 46% of our merchants are catering to international customers

- ~5% of merchants have DCC enabled

Merchant segment	Value	% Share	
Merchants transacted on cards	173620		
Merchants transacted on international cards	79926	46.04%	% Share of Merchants with Intl Card payment out of total merchants with card payments
Merchants transacted on DCC on Intl Cards	4290	5.37%	% Share of Merchants chosen DCC flow out of total merchants with intl card payments
Merchants transacted on DCC opt in out of overall DCC Txns	1752	40.84%	% of Share of merchants transacting on DCC choosing DCC Opt in
Total DCC Enabled Orgs out of merchants transacted on Intl Cards	12671	15.85%	% of Share of merchants enabled on DCC out of merchants transacted on intl card payments

3. Is there any alternate solution to this problem? (optional)

This section should describe how the customer works currently in the absence of this problem being solved by us.

Case 1: Absence of DCC as a solution (Aggregator):

Merchants: Accept payments in INR only, relying on issuing banks to handle currency conversion. This results in merchants missing out on providing a differentiated experience for international customers and loss of potential revenue sharing opportunity

Customers: Perform manual currency conversion using third-party tools, leading to errors and dissatisfaction. They pay additional hidden forex fees charged by issuing banks.

Issuing Banks: Retain control over currency conversion through their existing systems, but this limits transparency for end customers and hampers merchants from improving their services.

Case 2: DCC offered via 3rd party provider (Bank-led and Direct):

Tier 1 Banks - HDFC and Axis have partnered with Planet Payments and Wordline to provide this offering. This limits Razorpay revenue earning potential and is not able to serve merchant e2e for all VAS.

4. Is this solved by any of our competitors?

This section should contain insights on the relevant competitors and how they are solving this problem.

Direct/ Aggregator Model

Competitors like Pine Labs, Paytm, and Mosambee already offer DCC as part of their solutions:

- **Pine Labs:** Provides a robust DCC feature through partnerships with acquiring banks. Merchants can enable DCC on their POS systems, with customer opt-in/out at the terminal.
- **Paytm:** Offers DCC for their terminals, targeting high-volume retail and hospitality segments.
- **Mosambee:** Focuses on mid-sized merchants with DCC features integrated into their POS solutions, emphasizing ease of use.

Bank-led Model

Partnerships with banks by competitor:

Banks	DCC service providers
HDFC	Planet Payments
ICICI	Planet Payments
RBL	Planet Payments
Axis Bank	Worldline
Kotak Bank	Worldline
Yes Bank	Worldline
IDFC	Worldline
SBI	Hitachi

Provider	Revenue Sharing	Strengths	Gap	Opportunity	Remarks
Planet Payments	Markup: 5-5% Bank - 2% cost, 2-2.5% revenue PG/RZP - 20 bps PP - 50 bps	- Market leader with ~70% Market share in Direct/ Aggregator model - Wide penetration with HDFC and TSPs like Pine Labs, Paytm, Mosambee - Robust system supporting 135+ currencies. - Guarantees best market rates else 150% refund	- No strong competitor - Huge dependency on Banks partnerships - HDFC is the only dominant partner bank	Provide a standalone/ plug-n-play DCC solution where Banks have the flexibility to use any payment gateway for DCC offering to their merchants	Razorpay has partnered with PP for HDFC DCC solution in Bank-led model

Wordline	Markup: 4-4.5% PG/RZP - 40 bps	- High market share when it in bank led model - High synergies due to own switch and DCC solution and monopoly over their POS devices; - High negotiation power with banks - More proactive for bank's requests as compared to other DCC providers (eg. Hitachi)		Provide a standalone/ plug-n-play DCC solution where Banks have the flexibility to use any payment gateway for DCC offering to their merchants	Razorpay has partnered with Wordline for Axis DCC solution in Bank-led model
Hitachi	-	- Partnership with Worldline as switch and SBI as the Bank	- Challenges in timely delivery of Bank's requests - Bank not happy with the product and service	Replace worldline as a DCC provider with our offering by pitching the customer and merchants benefits and ease of integration	Razorpay is the go to TSP for SBI

5. How will we solve this problem?

5.1. Our proposed solution and the various phases/ milestones involved

This section should cover a high-level summary of the solution. This should be written concisely (ideally less than a page or two) and your partners across functions should understand the proposed solution just by reading this. The solution should ideally start with the customer, and cover how the customer will start using the product/ feature.

Razorpay is migrating Dynamic Currency Conversion (DCC) to the OmniChannel Stack, enabling a seamless experience for both online & offline merchants.

✓ For Merchants:

- Merchants operating in online, offline, or both spaces can now offer DCC seamlessly through Razorpay, removing the current fragmentation.
- Aggregator merchants who previously did not have DCC access can now enable it via Razorpay's in-house acquiring switch (Hitachi-RBL BIN Sponsorship Model).
- Razorpay POS automatically detects eligible international card transactions and prompts the customer with an option to pay in their home currency.

✓ For Customers:

- When an international customer presents their Visa/Mastercard at a DCC-enabled Razorpay POS terminal or an online checkout, they will see both INR & home currency prices with a real-time exchange rate.

- The customer can opt-in for conversion and pay in their home currency or opt-out and pay in INR.
- Razorpay ensures full transparency on conversion fees, making it a frictionless experience.

✅ **For Razorpay:**

- By building DCC on the Razorpay OmniChannel Stack, we eliminate reliance on third-party DCC providers (Planet Payments, Worldline), capturing a greater share of markup revenue.
- This scalable, single-stack solution reduces technical debt & operational overhead while extending Razorpay Stack's Cross-Border Payments capabilities.

User Stories → + [User Stories] DCC on Omni

<Phased wise milestone plan – to be added>

5.2. How will we drive adoption?

Building your offering is 90% of the job done. This section should describe the strategy planned to put this offering in the hands of your customers.

In summary, document the release strategy for the product/ feature here. How will you ramp up to 100% and with what gates and milestones? This should be detailed in a separate GTM doc (linked from here) if it's a large project.

<To be added>

5.3. How will we extend this launch (in the future)

What we are not doing now and could come in the future.

The proposed DCC solution is designed as a **plug-and-play architecture** that replaces third-party providers (e.g., Planet Payments) for Direct/Aggregator Merchants while supporting integration with third-party providers for Bank-Led Merchants when necessary.

Channel	Acquirer	DCC Provider	Remarks
Aggregator Model	HDFC/ Axis	Razorpay (Hitachi-RBL)	Razorpay integrates with bank switches while remaining the DCC Provider
Direct Model	Any Bank	Razorpay (Hitachi-RBL) or 3rd	Razorpay is the default DCC Provider

		Party Provider (Planet Payments, Worldline)	but supports third-party providers if merchants prefer.
Bank-led	Any Bank	3rd Party Provider (Planet Payments, Worldline)	Replace third-party providers with Razorpay in the long term through competitive features.

5.4. Non-Goals/ Out of Scope

What are the non-goals for this project and hence out of scope?

DCC for UPI Transactions: Not applicable as UPI operates only in INR.

Support for Non-POS Devices: Initially focused only on Razorpay-enabled android POS devices.

Cashback/offers or EMI with DCC: Not supported during the initial launch.

6. How will we measure impact?

6.1. What will success look like for this project?

Key outcomes this project will impact and we would call it a success if these are achieved. These can be drafted in one or more of the 3 different dimensions: 1) Customer value creation, 2) Razorpay value extraction, 3) Adoption, 4) Revenue, 5) NPS etc.

6.2. Which OKR will this influence if outcomes are achieved?

Document the OKR this project will impact and by how much.

6.3. How would we know if the solution is working?

This section should document the metric that will help us understand if the solution is working. The solution can work and we might still not achieve the outcomes.

6.4. What business observability should we build in? (optional)

This section should document the metrics that we need to monitor to build business observability. Should help in drafting detailed instrumentation and analytics needs.

6.5. Any NFRs alongside the functional scope?

Document any non-functional requirements around scale, latency, availability, cost, security, and compliance that would be essential to achieve the outcome.

7. Are any approvals needed and do we have those?

7.1. Do we need API council approval?

Do add if API council approvals are needed.

No

7.2. Do we need LRCTC approval?

Do add if Legal, Regulatory Compliance, Tech Compliance, or Security approvals are needed.

No

7.3. Is this a one-way door and hence needs leadership approval?

This section should describe whether the solution we are proposing is reversible/ recoverable in terms of failure. Identify the cost of failure. If it is low, then we should be okay to fail and shut down the feature or launch and iterate. The intent behind this section is that for reversible decisions, we should not go through reviews and tilt towards velocity. For irreversible decisions, we should go through thorough reviews to avoid long-term customer impact.

Reviewer Name	Reviewed Date	Status
		Not started ▾

9. Appendix (Optional)

9.1. Other Solutions Evaluated

This section should describe other solutions/approaches considered to solve this problem.

9.1.1. Alternate Solution 1

First alternate solution evaluated

9.1.2. Alternate Solution 2

Second alternate solution evaluated

10. Are we making any assumptions?

This section should highlight any assumptions made in problem design or hypothesis building.

11. Questions during PRD Walkthrough Sessions